

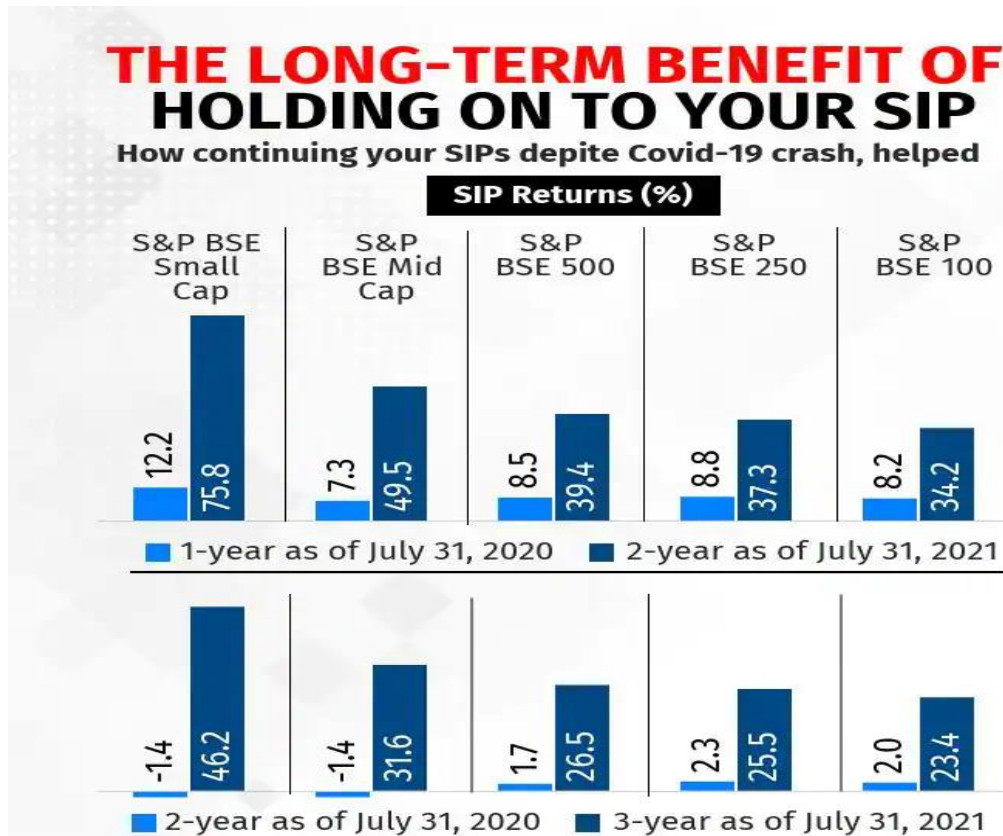
THE INVEST^{igator}

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Investors who continued their SIP's after COVID crash are clear winners



Even before the COVID-19 crash in 2020, the stock markets were reeling under pressure as economic growth had already started slowing down. The market benchmark S&P BSE Sensex managed to gain 15 percent in the calendar year 2019, and just about five percent in the year 2018. Above all, only a handful of large heavy-weight stocks in Sensex had contributed to these gains.

Investors who held onto their investments and continued till now, they are sitting on strong SIP returns.

A look at SIP returns of MF benchmarks

An analysis by IDFC Mutual Fund looks at SIP returns across various indices against which the major categories of equity MFs are benchmarked.

The large-cap index -- S&P BSE 100 TRI -- has delivered 2-year SIP returns of 34.2 percent as of July 31, 2021. The one-year SIP returns up until July 31, 2020, for S&P BSE 100 TRI was just 8.2 percent.

Besides the sharp market recovery over the last year, SIP returns have benefitted from rupee cost averaging. **SIP helps you to keep your average cost of investment low. You end up buying more units for the same SIP amount when markets correct and less when markets rise.**

The S&P BSE Small-Cap TRI has delivered a staggering 75.8 percent on two-year SIP returns (see table), whereas its one-year return was 12.2 percent until July 31, 2020. The S&P BSE Mid Cap TRI has delivered two-year SIP returns of 49.5 percent, which was 7.3 percent up until July 31, 2020.

What about three-year SIP returns?

The three-year SIP returns for the large-cap index --S&P BSE 100 TRI -- is 23.4 percent as of July 31, 2021. **The two-year SIP returns up until July 31, 2020 for the index was just 2 percent.**

The S&P BSE Small-Cap TRI has given three-year SIP returns of 46.2 percent, whereas its two-year return was negative 1.4 percent up until July 31, 2020.

The S&P BSE Mid Cap TRI has delivered three-year SIP returns of 31.6 percent, which was also negative 1.4 percent up until July 31, 2020.

Government May Allow PF's to Invest in Start – Up's

- ✓ The shine of start – ups seems to have cast a spell on the custodians of retirement funds. They are willing to bet a part of their corpus in these fledgling ventures, thereby opening a new cash source for budding entrepreneurs. **According to a senior government official, the LIC of India and the Employees Provident Fund Organisation (EPFO) are willing to set up funds for start – ups to help these young entities.** However, PFRDA is not yet ready to jump on the start – up bandwagon.
- ✓ If the intent gets translated into action, this arrangement will also perk up the return of the retirement funds, given the extremely high valuations these start-ups command. **The recent success of Zomato IPO has caught the imagination of various investor classes as they are viewing this as an opportunity for future healthy returns.**
- ✓ Earlier the EPFO had stated that in a pro – growth and accommodative interest rate regime, it is finding it extremely difficult to maintain a decent assured return to its crores of subscribers. Given that LIC has over Rs 36 Lakh Cr assets and EPFO manages over Rs 15 Lakh Cr, there appears to be a compelling case for a part of retirement corpus flowing in to these ventures. However, since the retirement money in most cases is the only nest egg for many, investments need to be made with extreme caution as returns could be highly volatile.
- ✓ Presently, the EPFO can invest 15% of its corpus in Equities. Additionally, govt has recently allowed it to invest up to 5% in Alternate Investment Funds (AIF's) that support infrastructure and SME's. **Various analyst's have viewed this favourably and stated that taking a little risk on start-ups will not be that bad as potential reward is very high**

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SWAP Global Ventures Pvt. Ltd.

AMFI Registered Mutual Fund Distributor

VCA Complex, Civil Lines, NAGPUR – 440 001

0712-6641166/67, 9372693725

Email : swapconsultants@yahoo.com Website: www.swapglobalventures.com